

The price of a probability

Four banks, one war, and what a geopolitical judgement cost

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Information cut-off: 16 September 2026. Developments after that date are not reflected.

Analysis of public disclosure. Not investment research, and not a recommendation in respect of any security.

PART A | BRIEF

Bottom line

On 28 February 2026 Israel and the United States struck Iran. Iran closed the Strait of Hormuz the same day and it has not reopened. **Four banks have now put numbers against the conflict in their credit-risk disclosures, and the numbers do not agree.**

Standard Chartered attributed **\$234 million** of first-half impairment to the conflict, after assigning a 30 per cent weighting to a new Sustained Middle East Conflict scenario and applying conflict-related overlays. On the UK Professional Head of Intelligence Assessment yardstick, 30 per cent means *unlikely*.

On the evidence available by September, I assess that weighting as too low.

What the four banks disclosed

Bank	Conflict charge, H1 2026	How
Standard Chartered	\$234m	Combined downside 41% to 60%, but the scenario set changed: 30% on a <i>new</i> Sustained Middle East Conflict scenario, plus 30% on the pre-existing Bank Capital Stress Test. Base forecast 59% to 40%
First Abu Dhabi Bank	AED 650m	Downside 30% to 50% in Q1, held at 30 June, plus AED 350m in Q2 with no further change to weights
Emirates NBD	Nil additional at 30 June	100% downside for UAE retail, 80% corporate in Q1. Reverted to 30% by 30 June, no additional overlay required
HSBC	\$0.3bn in Q1	Not attributed at the half year. A forward stress range instead, not conflict-specific: a mid-to-high single digit percentage of profit before tax. A stress comparator, not a comparable provisioning observation

Judgements

Probabilities use the PHIA yardstick: remote chance $\leq 5\%$; highly unlikely 10–20%; unlikely 25–35%; realistic possibility 40–under 50%; likely 55–75%; highly likely 80–90%; almost certain $\geq 95\%$. **Confidence is stated separately from probability throughout.**

One caution. The PHIA scale is used here as a translation device. An IFRS 9 scenario weighting and an intelligence probability judgement are not methodologically identical: the first is an input to a loss calculation, the second a statement about whether an event occurs. They are compared because the banks call their weightings probabilities and move them in response to world events, not because the two frames are equivalent.

1. The Sustained Middle East Conflict scenario will describe Standard Chartered's operating environment through the FY2026 reporting period.

HIGHLY LIKELY | 80 TO 90 PER CENT | CONFIDENCE: MEDIUM

2. Financial transmission has not completed.

LIKELY | 55 TO 75 PER CENT | CONFIDENCE: LOW TO MEDIUM

Credit effects of an energy and freight shock reach borrowers over several quarters. Stated as reasoning, not evidence: no measured lag for this episode exists.

3. The divergence between the four banks substantially reflects portfolio composition and regulatory treatment.

HIGHLY LIKELY | 80 TO 90 PER CENT | CONFIDENCE: HIGH

Substantial here means that neither can be excluded as a material driver; their shares cannot be established from public disclosure, and this report does not claim to.

4. The CBUAE regime reduces the comparability of staging data at the UAE banks.

FACT, NOT PROBABILITY

The flexibility is disclosed and dated, and First Abu Dhabi Bank states it is compensated for by portfolio-level provisions. Whether it is materially suppressing deterioration that would otherwise have reached stage 2 and stage 3 cannot be established from public disclosure. Stable staging is equally consistent with borrowers not yet having deteriorated. The comparability problem is certain; the suppression is not.

What to watch, and the one date

HORMUZ TRAFFIC

The WTO's Strait of Hormuz trade tracker is public and current: crude-oil ship traffic is down 95 per cent, LNG carriers 99 per cent. **Reopening:** that crude reduction narrowing past half, sustained 14 days, with war-risk premiums back below 2 per cent of hull value. Escalation: kinetic strikes on non-Iranian Gulf energy infrastructure, or quoted premiums holding in double digits for 30 days. **Rates have already touched that level, so the trigger is persistence, not level.**

BRENT

Above \$110 for more than 30 days indicates prolonged closure being priced. Below \$85 indicates normalisation.

SOVEREIGN RATINGS

Across the eight markets Standard Chartered names: three or more negative actions within six months, or a single-notch downgrade of Saudi Arabia, the UAE or Qatar.

30 SEPTEMBER 2026

The disclosed end-date for the CBUAE package's extended measures. **Extension would indicate the central bank still sees a case for them. Expiry would remove part of the mechanism currently dampening the staging signal.**

Three things to do differently

1. **Do not read** H1 2026 cost-of-risk differences across these institutions as a clean comparison of credit quality. The spread also reflects management judgement, portfolio composition, modelling choices and regulatory treatment.
2. **Ask counterparties** for scenario mechanics, not headline provisions. Weightings, direction of travel, and the transmission variable: does it model physical supply loss, or the cost of keeping supply moving?
3. **Diarise** 30 September and the UAE full-year results. Treat UAE bank staging through the forbearance window as a less comparable signal than it appears.

And if you are a borrower rather than a lender: read your own bank's scenario weightings and their direction of travel before the next renewal. They are disclosed, and can shape the price of credit before any loss appears.

WHAT WOULD PROVE THIS WRONG

Hormuz reopening with both blockades lifting; Standard Chartered releasing overlay at Q3 or the full year; Emirates NBD requiring no re-provisioning despite the UAE trade severance; a negotiated settlement; or the next disclosure showing the other transmission variable. **Section 10 sets out each in full.**

1. The war, and why it is a credit question

On 28 February 2026, Israel and the United States began a series of strikes against Iran, saying they were targeting Iran's military infrastructure and its nuclear and ballistic missile programme, and calling for a change of leadership. Iran's Supreme Leader, Ali Khamenei, was killed. Iran responded by striking Israel, United States bases across the region, and military and civilian sites in Arab states hosting American forces. British bases in Bahrain, Qatar and Cyprus were among those attacked.

The same day, Iran declared the Strait of Hormuz closed to all vessels, later qualifying that to permit ships of "non-hostile" states. On 13 April the United States began a counter-blockade of Iranian ports and says it has turned back 127 commercial ships. **Both blockades remain in place.**

The strait has not reopened, and the scale is measurable. Around 3,000 vessels used it each month before the conflict. World Trade Organization tracking shows a 95 per cent reduction in ships carrying crude oil to and from Persian Gulf ports and a 99 per cent reduction in LNG carriers since February.

But "closed" is the wrong word for what Iran is now doing. Tehran is operating a tiered permission system, reportedly with tolls, admitting ships of specific countries sometimes for a fee, and has proposed a new body to manage the strait and Iranian control of wider parts of it. This is not a blockade so much as the assertion of a tollgate, and it matters for how the conflict ends, a point section 6 returns to.

Pakistan announced a two-week pause on 8 April. On 17 June the United States and Iran signed a fourteen-point memorandum of understanding envisaging a sixty-day period of talks; no official text has been published. Fighting continued after it was agreed. As of the House of Commons Library's most recent assessment, **there are no talks between the United States and Iran on ending the conflict, and both have said there are no current plans to restart them.**

Why this reaches a balance sheet

The Strait of Hormuz carried **twenty million barrels a day** in 2024, about a fifth of global petroleum liquids consumption and more than a quarter of seaborne oil trade, together with about a fifth of global liquefied natural gas, primarily Qatari. Against that, the US Energy Information Administration estimates that about 2.6 million barrels a day of Saudi and UAE pipeline capacity could be available to bypass the strait in a supply disruption. The pipelines exist, but both were already being used more heavily day to day, which limits the headroom available to reroute.

The EIA's own conclusion: "Most volumes that transit the strait have no alternative means of exiting the region, although there are some pipeline alternatives."

The available bypass capacity is an order of magnitude below normal flow.

The 2.6 million figure is *spare* capacity available in a disruption, not the total volume that has a physical route; subtracting it from twenty million and calling the remainder stranded would confuse the two. **The qualitative claim here is the EIA's own, and the capacity figure is stated as capacity.**

That is an energy price event, a fiscal event for every Gulf exporter, and therefore a credit-risk event for banks lending into them. It reaches banks with no Gulf exposure at all, through the price of energy and the cost of freight.

And it does not stop at banks. War-risk premiums on Hormuz transits have risen from roughly 0.25 per cent of hull value before the strikes into the high single digits at points during the conflict, with quoted rates varying materially by vessel, timing and cover; market reporting has put additional premiums as high as 7.5 to 10 per cent. On a large tanker that is millions of dollars for a single transit, and the cost is in the delivered price of every cargo that still moves. For a corporate treasurer the question is not whether the firm trades with Iran. It is what happens to input costs, freight, working capital and the price of credit, and the last of those is set by the banks in section 2.

It also distinguishes this closure from the last disruption. When Red Sea transits collapsed in 2024, cargo rerouted via the Cape: longer, dearer, but it moved. There is no equivalent route out of the Gulf. Chokepoints are not interchangeable, and this matters for how a scenario should be specified.

2. What it has already cost, in the banks' own numbers

Standard Chartered

Standard Chartered attributed **\$234 million** to the conflict: \$159 million of management overlays in Corporate and Investment Banking and Central items, \$14 million in Wealth and Retail Banking, and \$61 million of increased non-linearity charge. The overlays reflect risks in the petrochemical sector and “the estimated probability weighted impact of sovereign downgrades across several footprint markets”.

The non-linearity charge rose because the bank introduced a new downside scenario, **Sustained Middle East Conflict**, described as a prolonged geopolitical crisis leading to sustained energy supply disruptions and elevated global commodity prices.

The combined weighting on the bank's two downside scenarios rose from 41 to 60 per cent, comprising 30 per cent on the new scenario and 30 per cent on its pre-existing Bank Capital Stress Test. The base forecast fell from 59 to 40 per cent.

The bank's own disclosure carries an internal tension here. It describes \$64 million as both an *increase* in the non-linearity charge and as the total non-linearity *impact* against \$34 million a year earlier. Those readings are not compatible. The \$61 million conflict-attributable component is stated unambiguously in both passages, so the \$234 million reconciliation holds either way.

First Abu Dhabi Bank

An expected credit loss overlay of **AED 650 million** for the half year, “reflecting the uncertainty in credit risk arising from the ongoing regional conflict”. The downside weighting moved from 30 to 50 per cent in the first quarter and was held at 30 June, with a further AED 350 million added in the second quarter without any change to the weights.

Emirates NBD

In the first quarter the bank raised the downside weighting to **100 per cent for retail customers and 80 per cent for corporate customers in the UAE**. A 100 per cent weighting is as far as that mechanism goes. Following updated macroeconomic forecasts in the second quarter it reverted to its standard methodology of 40, 30 and 30 per cent and concluded that no additional management overlay was required at 30 June.

Emirates NBD does not disclose a single conflict-attributable figure, so the magnitude of the Q1 step is not quotable from its own statements. What is quotable is the weighting, and it is the furthest any of these four banks went.

HSBC

A **\$0.3 billion** increase in allowances in the first quarter, attributed to “the onset of the conflict in the Middle East on 28 February 2026”. At the half year, only that the period “included allowances to reflect uncertainty due to the ongoing conflict”, unquantified. It published instead a forward stress range: under integrated downside scenarios, a mid-to-high single digit percentage adverse impact on profit before tax. Those scenarios are not conflict-specific: they combine higher oil prices with inflation, slower growth and market disruption, so the range is an order-of-magnitude sense-check, not a like-for-like comparison with the other three banks' charges.

Scale

Standard Chartered's \$234 million is about **4.9 per cent** of a record half-year profit before tax of \$4.8 billion. Material to the impairment line, immaterial to the result. Nothing here suggests the conflict damaged any of these banks' half years.

What it shows is that a geopolitical judgement is not commentary. It is a line in a profit and loss account, and its size is shaped by probability assumptions and management judgement.

And immaterial to the result is not the same as immaterial to a borrower. A charge that barely moves a record half year still reflects a changed view of risk, and that view can feed into limits, pricing and appetite. The provision is the visible part. The repricing, where it happens, is the part a client feels.

3. Why the four numbers cannot be compared

Two findings hold at more than one bank.

Provisions rose while observed credit indicators did not deteriorate. First Abu Dhabi Bank's total net impairment charge rose from AED 1,476 million to AED 2,050 million. The conflict overlay alone is AED 650 million, so impairment excluding it would have been about AED 1,400 million, roughly 5 per cent below the same period of 2025, on the basis that the 2025 comparator contains no equivalent overlay, which its unchanged scenario weightings support but do not prove. This is a temporal contrast, not evidence that credit quality improved; impairment moves on repayments, write-offs, cures, disposals and currency. But the forward-looking provision rose while the backward-looking charge did not.

Staging is not comparable. Standard Chartered re-staged exposures affected by its overlays. The UAE banks were permitted to keep staging treatment more stable, provided additional portfolio-level provisions were held. The same underlying deterioration would therefore surface in different places on the two sets of accounts.

What can and cannot be separated

Cause of divergence	Observable?	Where
Scenario weightings	Yes, disclosed	IFRS 9 notes
Regulatory treatment	Yes, disclosed and dated	Central bank announcements
Scenario architecture	Partly, narrative only	Risk review
Portfolio and borrower mix	Partly, segment level	Pillar 3, segmental
Model structure and judgemental overlays	Largely not	Not comparably disclosed

Because the last two are not observable, **this report can establish that the reported number contains both structure and judgement, but not their shares.** Saying so is the difference between an analysis and an assertion.

The consequence: anyone benchmarking H1 2026 cost of risk across these four institutions is comparing management judgement and regulatory regime, not credit quality alone.

4. The regulatory asymmetry, and a date

The Central Bank of the UAE introduced a **Financial Institution Resilience Package** effective 17 March 2026, now in a second version. It cut the countercyclical capital buffer on UAE private sector exposures from 0.5 per cent to zero, permitted use of up to one percentage point of the capital conservation buffer, and allowed liquidity coverage and net stable funding ratios below their 100 per cent minima, subject to floors of 80 and 90 per cent. It also permitted model parameters to remain broadly unchanged.

First Abu Dhabi Bank describes the effect on staging directly: flexibility in the categorisation of restructuring and staging of clients continues to apply, **“however, this flexibility is compensated for by additional provisions at the portfolio level”.**

So the relevant distinction is not international bank against regional bank. It is a bank operating inside a temporary official support regime against one operating outside it.

30 September 2026 is the current end-date the UAE banks disclose for the extended measures. The package has capital, liquidity and credit-risk components, and the filings do not establish that every concession runs to the same date, so it is an end-date on the record, not a single cliff-edge. Extension would indicate the CBUAE still sees a case for extraordinary resilience measures. Expiry would remove part of the mechanism currently dampening the staging signal, making subsequent UAE disclosures more informative. Both outcomes are informative.

5. Are the banks modelling the right thing?

Standard Chartered's new scenario is specified as a prolonged crisis producing **“sustained energy supply disruptions and elevated global commodity prices”.** That is a claim about *volume*.

My prior was that this would be the wrong variable. My published work on the 2024 Red Sea disruption found the commercial mechanism ran through rerouting, insurance, freight and price rather than delivered volume. Cargo still arrived, later and more expensively, and volume that left one terminal reappeared inside the same corporate network.

That prior does not transfer, and the reason is the point. The Red Sea had the Cape, and it could absorb essentially all the displaced cargo. Hormuz has about 2.6 million barrels a day of available pipeline bypass against twenty million of normal flow. Available bypass capacity is far too small to replace normal flows, so for this chokepoint supply volume is plausibly the right variable and Standard Chartered may have specified its scenario correctly.

The finding that survives is more useful than the one it replaces. Chokepoints are not interchangeable. The transmission channel depends on whether an alternative route exists, and a scenario built by analogy to the Red Sea would have modelled the wrong thing.

Question for a risk committee: does our geopolitical stress scenario model physical supply loss, or the cost of keeping supply moving, and have we checked which one this particular chokepoint produces?

I cannot answer that from outside. **The disclosed scenario language describes a channel; it does not reveal the modelled variables.** The question is one a committee can answer internally in an afternoon, and it is worth asking.

Why it matters which one is modelled. A scenario built on volume loss and one built on price and routing stress different exposures. Volume loss reaches producers, refiners and holders of physical supply contracts. Price and routing reach shippers, insurers and every importer paying the delivered cost.

A bank that models one channel but omits the other risks carrying exposures whose stress is understated, and the borrowers concerned may differ from those the scenario was designed around.

6. Is 30 per cent right?

Standard Chartered has published a scenario weighting and separately quantified the conflict-related impairment effect. Mapped onto the PHIA scale for comparison, 30 per cent falls in the *unlikely* band.

What follows challenges the weighting, not the \$234 million. The charge reflects that weighting alongside portfolio composition, model outputs, non-linearity and management judgement on petrochemicals and sovereign risk. The weighting is one input among several, and it is the input this section argues is now wrong.

What the memorandum required, and why it stalled

The 17 June memorandum's first stage required the United States to lift its blockade of Iranian ports, Iran to arrange safe passage through Hormuz, the United States to lift sanctions on Iranian oil exports, and the parties to discuss unfreezing Iranian assets. **Neither of the first two has happened.**

The sticking point is specific, and section 1 has already described it in operation. **Iran wants a new regime governing the strait, including transit charges, and is already running one.** Oman, which has co-managed the strait, opposes tolls. The United States says tolls would be unacceptable in any deal. The Gulf Cooperation Council has called for free access. A dispute about who collects money for passage is a claim to sovereignty over a waterway, and more durable than a dispute about a ceasefire line.

What has happened since the banks reported

All of the following post-dates 30 June. No bank in this sample could have reflected it.

August: Iran appointed a hardliner to run national security. Mohsen Rezaei, formerly of the Islamic Revolutionary Guard Corps and close to the Supreme Leader, became secretary of the Supreme National Security Council. Analysis for *Foreign Policy* and the *Gulf States Newsletter*, cited by the Commons Library, suggests this may mean Iran is preparing for a longer conflict. The appointment is consistent with a harder security posture, though its policy significance is not established.

His six conditions for reopening Hormuz are firmer ground: withdrawal of United States forces near Iran, removal of the naval blockade, release of frozen assets, and a "forever" end to conflict in Gaza, Iraq, Lebanon and Yemen. Not all were in the June memorandum: stated conditions, not an inference about intent.

19 August: the United Arab Emirates announced it would cut off all trade and all commercial and financial transactions with Iran. On WTO trade data cited by the House of Commons Library, Iran is the source of 30 per cent

of UAE imports, its largest single source, ahead of China, Turkey and the European Union, and the UAE's third-largest export market. The UAE also intermediates Iranian access to global markets and finance. *The Wall Street Journal* reports the action may be phased, beginning with shipping.

24 August: "Operation Economic Outcast", an expanded United States sanctions regime targeting Iranian technology, oil, gold and shipping, with every country to be given a defined timeline to end Iran-related activity. Rezaei said Iran would treat any state's support for the new sanctions as an act of war.

Emirates NBD reverted to normal scenario weightings and held no additional overlay at 30 June. Seven weeks later its own government announced it was severing its largest import relationship.

That is strong subsequent evidence for questioning whether the reversion proved premature, and it requires no assumption about lag structures.

And there is one piece of evidence that does not depend on hindsight at all. In May, weeks before the reporting date, the UAE's own state oil company said full flows through Hormuz would not resume until 2027, even if a deal were reached quickly. That was public, and it was available to every bank in this sample when it set its assumptions.

It is the harder version of the argument, because it cannot be answered by saying the bank could not have known.

And the reversion did not produce the release it mechanically should have. Moving a retail book from a 100 per cent downside weighting back to 30 per cent would, all else equal, reduce probability-weighted expected credit loss. Emirates NBD's second-quarter net impairment was AED 581 million, against AED 187 million in the same quarter of 2025. All else was not equal, and the interim statements do not say what. That is an open question rather than a finding, but it sits awkwardly against a clean normalisation.

This is an argument about timing, not competence. Emirates NBD assessed the information available at 30 June. **But any counterparty relying on its half-year position as evidence that the shock has passed is relying on a judgement formed seven weeks before its own government began dismantling a trade relationship worth 30 per cent of national imports.**

The judgement

Assessed probability that the Sustained Middle East Conflict scenario describes Standard Chartered's operating environment through the FY2026 reporting period: highly likely, 80 to 90 per cent. Confidence: medium.

High confidence on the structural mechanics: the available bypass capacity cannot replace normal flows, and both blockades are in place. Medium on political duration, because the evidence below is real.

Evidence pointing the other way, and why it does not move the assessment below 80. Pakistan reported significant progress in its engagement with Iran on 25 August. The United States Treasury Secretary has said economic pressure makes a large-scale kinetic restart unlikely. President Pezeshkian continues to back the memorandum publicly. Iran's inflation reached a record 84 per cent, its currency a record low, and the IMF projects -5.4 per cent growth in 2026 and $+2.9$ per cent in 2027 *if the conflict ends*; up to a third of the state budget comes from oil revenue, and exports are at a six-year low.

That is genuine pressure to settle, and it is why confidence here is medium rather than high. But economic pressure argues for settlement only if terms are converging. Iran's widening public conditions reduce confidence that the parties are converging on the June framework.

States do harden public demands while preparing privately to negotiate, and maximalist positions can be bargaining behaviour. **The argument is not that raising one's price proves unwillingness to settle**, but that the only public movement since June has been away from the framework, with nothing on the record pointing the other way. Pakistan's progress is in its engagement with Iran, not between the parties.

The distinction that matters

Standard Chartered struck 30 per cent at 30 June, a weighting which, mapped onto the PHIA scale solely as a translation device, falls in the unlikely band. The Rezaei appointment, the UAE trade severance and Operation Economic Outcast are August events.

So the claim is not that the bank was wrong in June. On the information available at the reporting date, a downside weighting in the unlikely band was defensible. The claim is that it is not defensible now.

A scenario is a tail risk when it might happen. This one is happening.

7. What it means for the next disclosure

Reallocation would work through the model rather than solely through an overlay. The base forecast carries 40 per cent. If the conflict scenario moves toward the central path, probability weight would have to move away from the existing base case. To the extent that the conflict scenario generates higher modelled losses, that reallocation would increase probability-weighted expected credit loss through the model rather than solely through a discretionary overlay. That matters because the increase would then sit within the modelled figure rather than in a separately identifiable management overlay.

Part of the \$159 million overlay changes character. The bank struck that \$159 million for petrochemical sector risk *and* the probability weighted impact of sovereign downgrades, and does not disclose the split. If sovereign deterioration crystallises across relevant footprint markets, some risk currently held as management overlay could increasingly enter modelled expected credit loss, through macroeconomic variables, borrower risk parameters and, where significant increases in credit risk occur, stage migration. That is a change in where the risk sits, not only in how much of it there is, and it is disclosed.

A catch-up charge would reframe the half year. Standard Chartered's own words are that it "reflected the impact on the Group's portfolio through a number of management overlays and an increased non-linearity charge, totalling \$234 million overall". It did not claim to have fully captured the conflict. But an un-modelled second-half catch-up would indicate the weighting was struck too low for the environment that followed, and would leave the banks operating under forbearance better cushioned than the bank that disclosed most.

And the bank that decomposed its charge line by line is the one whose assumption can be tested and found wanting. **Transparency creates the exposure.** That is not an argument against transparency.

8. The sovereign channel

Standard Chartered attributed part of its \$159 million overlay to "the estimated probability weighted impact of sovereign downgrades across several footprint markets". It does not name them in that passage.

It names them elsewhere. In a footnote to a geographic exposure table, the bank defines its Middle East as **Bahrain, Egypt, Iraq, Jordan, Oman, Qatar, Saudi Arabia and the United Arab Emirates**.

Set that against what happened. Iran's counter-strikes targeted Israel, United States bases and Arab states hosting American forces. British bases in Bahrain and Qatar were attacked. The Royal Air Force operated defensively over Qatar, Jordan and Iraq. Air defences were deployed to Bahrain, Kuwait and Saudi Arabia.

The bank's footnote and the set of states drawn into the conflict are substantially the same countries.

That makes the overlay more concrete. The bank's disclosed Middle East footprint substantially overlaps with the states directly exposed to the conflict, making fiscal deterioration in those markets a plausible channel behind the sovereign-downgrade provision.

Standard Chartered says "several footprint markets" and does not name them in that passage. The eight-country definition appears elsewhere, in a different table. **The overlap is evidence of where the risk plausibly sits, not proof of which sovereigns the overlay was struck against.**

No rating is asserted in this report. Rating actions across those eight markets are treated as a forward indicator, not as evidence. Agencies act after fiscal consequences become visible, so this channel confirms rather than warns.

What a borrower in those markets might take from it. A sovereign downgrade does not stay with the sovereign. It can feed through country-risk limits and into the pricing and availability of credit for firms that have done nothing differently. A major international lender has already provisioned against the possibility of downgrades across its Middle East footprint. That provision was struck before any agency acted, and the eight-country definition above is among the few published indications of where a lender of this size sees that risk sitting.

9. What this means if you are not a bank

Everything above concerns four lenders. The people who feel it are their borrowers, including firms with no direct Gulf exposure.

Credit conditions can move before losses do. A bank that raises its downside weighting is saying, in the only language a set of accounts has, that it now expects a worse world. Changes in that assessment can subsequently affect limit reviews, renewal pricing, tenor and appetite. The provision is booked once. A changed view of the world can persist until the weighting comes back down.

To be clear about what is and is not established here. Public filings show provisioning, scenario and staging decisions. They do not show whether or how any particular bank passed those assumptions into any particular borrower's pricing or approval. The mechanism below is a transmission route, not an observed one.

The transmission runs three ways, and none requires a borrower to be anywhere near Iran.

- **Through the cost of goods.** War-risk premiums at many multiples of their pre-war level are in the delivered cost of every cargo still moving through the Gulf, and in freight rates on routes that have had to absorb displaced tonnage.
- Through sovereign risk in the banking system. A downgrade in any of the markets in section 8 can feed into country-risk limits and the pricing and availability of credit for firms financed there, whatever those firms do.
- Through the lender's own model. If the weighting rises in the second half, a modelled increase would fall across the portfolio rather than only on the exposures that prompted it.

For a corporate treasurer, the practical question is not exposure to the conflict. It is exposure to lenders who have not yet finished repricing it.

Which is checkable. Scenario weightings and their direction of travel are disclosed in every one of these banks' interim accounts. A borrower can read its own lender's assumptions, and would do better to read them before the next renewal conversation than during it.

10. What would prove this assessment wrong

- **Hormuz reopens on terms and both blockades lift.** The scenario resolves and 30 per cent was defensible throughout.
- Standard Chartered releases overlay at Q3 or the full year. The weighting was right and this assessment was wrong.
- Emirates NBD requires no re-provisioning despite the UAE severance. The reversion was correct and the timing argument fails.
- Pakistan's mediation produces a settlement within two quarters.
- Standard Chartered's next disclosure specifies the transmission variable and it is price and routing rather than volume. Section 5 dissolves.

Sources and method

Every bank figure in this report is taken from the institution's own filing or results release, read at source. Where a document could not be obtained from a company's own site, it was taken from the exchange: First Abu Dhabi Bank's interim statements are from the Abu Dhabi Securities Exchange. **Figures reported only in secondary coverage have been excluded rather than cited.**

Banks. Standard Chartered PLC half year 2026 results press release and *Half Year Results 2026 Part 2* announcement · First Abu Dhabi Bank Q1 and H1 2026 condensed consolidated interim financial information, filed on the Abu Dhabi Securities Exchange · Emirates NBD H1 2026 condensed consolidated interim financial statements, note 23 · HSBC Holdings plc interim results 2026 media release and 1Q 2026 earnings release.

Conflict. House of Commons Library research briefings CBP-10521 *Israel/US-Iran conflict 2026*, CBP-10637 *US-Iran ceasefire and nuclear talks in 2026*, and CBP-11075 *Iran in 2026: six months after the US/Israeli strikes*.

Chokepoint. US Energy Information Administration, *Amid regional conflict, the Strait of Hormuz remains critical oil chokepoint*, 16 June 2025, based on Vortexa tanker tracking. A pre-war baseline: the flow, share and bypass-capacity figures describe 2024, not the present. Current traffic is from the WTO Strait of Hormuz trade tracker; the tolling regime, the counter-blockade and the 2027 flow estimate are from House of Commons Library CBP-10636, *Reopening the Strait of Hormuz*.

Trade. UAE import shares are WTO trade-profile data as cited in CBP-11075.

War-risk pricing. Joint War Committee circulars, including the Listed Area expansion at JWLA-033, and broker market commentary. War-risk premiums are quoted rather than published on a public index, so the levels above are market commentary, not an observable series. They are used here as an order of magnitude.

Method. Probabilities use the PHIA yardstick with the scale printed. Confidence is stated separately from probability. Claims are labelled as fact, calculation or assessment. A provision is not a realised loss; an overlay is a judgement; a scenario weighting is an assumption. Where the evidence does not settle a question, it is recorded as unsettled rather than filled.

Sovereign credit ratings are not asserted anywhere in this report. They could not be verified at source and are treated as a forward indicator instead.

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